15-1a Monopoly Resources

The simplest way for a monopoly to arise is for a single firm to own a key resource. Consider the market for water in a small town. If dozens of town residents have working wells, the model of competitive markets discussed in the preceding chapter describes the behavior of sellers. Competition among suppliers drives the price of a gallon of water to equal the marginal cost of pumping an extra gallon. But if there is only one well in town and it is impossible to get water from anywhere else, then the owner of the well has a monopoly on water. Not surprisingly, the monopolist has much greater market power than any single firm in a competitive market. For a necessity like water, the monopolist can command quite a high price, even if the marginal cost of pumping an extra gallon is low.

“Rather than a monopoly, we like to consider ourselves ‘the only game in town.’”

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A classic example of market power arising from the ownership of a key resource is DeBeers, the South African diamond company. Founded in 1888 by Cecil Rhodes, an English businessman (and benefactor of the Rhodes scholarship), DeBeers has at times controlled up to 80 percent of the production from the world’s diamond mines. Because its market share is less than 100 percent, DeBeers is not exactly a monopoly, but the company has nonetheless exerted substantial influence over the market price of diamonds.

Although exclusive ownership of a key resource is a potential cause of monopoly, in practice monopolies rarely arise for this reason. Economies are large, and resources are owned by many people. The natural scope of many markets is worldwide because goods are often traded internationally. There are, therefore, few examples of firms that own resources for which there are no close substitutes.